It was common for large landowners to lease out the land to tenants. Usually these tenancy arrangements continued for long periods of time. The rents received by the landowners generally amounted to about 50% or more of the produce from the land, which was very high. Tenancy was a customary practice and agreements were rarely recorded. Thus, tenants of long-standing were almost never deprived of tenancy rights. However, tenants could also be evicted at short notice, and tenants therefore always lived under some uncertainty.

Tenancy reform was undertaken with two objectives. One was to empower the cultivators by protecting them against the landowners. The other was to improve the efficiency of land use, based on the assumption that tenancy was inefficient. Landowners rarely had any incentive to invest in improving the land, and were interested only in deriving an income from their land. Tenants, who had no ownership rights and were liable to pay high rents, had neither the incentive nor surplus money to invest in land.

Tenancy reform legislation was aimed at achieving three ends:

(i) to regulate the rent;

(ii) to secure the rights of the tenant;

(iii) to confer ownership rights on the tenants by expropriating the land of the land owners.

Legislation was passed in the states regulating the rent at one-fourth to one-third of the produce. But this could never be implemented successfully. The agricultural sector had a surplus of labour whereas land was a resource in short supply. Price controls did not work in a situation when the demand exceeded the supply. All that happened was that rent rates were pushed under the table without any official record.

Laws to secure the rights of the tenant and to make tenancy heritable were equally unsuccessful. Tenancy agreements were made orally, and were unrecorded. The tenant thus always had to live with the uncertainty that their land could be resumed by the landlord any time. When tenancy reform laws were announced many landowners claimed to have taken back their land for 'personal cultivation' and that tenants were only being employed as labour to work the land. Tenancy reform was bound to be ineffectual in the absence of a comprehensive and enforceable land ceiling programme.

Land reform measures initiated in Kerala and West Bengal met with reasonable success. While abolition of landlordism was remarkably successful, conferment of ownership rights to tenants had mixed results.

(c) Land Ceiling

Land ceiling refers to the maximum amount of land that could be legally owned by individuals. Laws were passed after the 1950s to enforce it. In Tamilnadu it was implemented first in 1961. Until 1972, there was a ceiling on the extent of land that a 'landholder' could own. After 1972, the unit was changed to a 'family'. This meant that the landowners could claim that each member of the family owned a part of the land which would be much less than the prescribed limit under the ceiling.

Deciding the extent of land under land ceiling was a complex exercise, since land was not of uniform quality. Distinctions had to be made between irrigated and unirrigated dry land, and single crop and double crop producing land. At the same time, exemptions from the Act were granted to certain categories of land such as orchards, horticultural land, grazing land, land belonging to religious and charitable trusts, and sugarcane plantations. These exemptions were also used to evade the land cieling acts and reported cases of manipulation of land records adversely impacted the otherwise laudable initiative.

Ultimately, only about 65 lakh hectares of land was taken over as surplus land. This was distributed to about 55 lakh tenants–an average of a little over 1 hectare per tenant. Clearly, with their political power the dominant castes who were the big landowners managed to dilute and vitiate the entire legislation.

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